

We are attracted to investments in which we have both a margin of safety and multiple ways to win. Jay Hennick's disciplined deployment of capital into attractively priced acquisitions, with contractual terms structured to protect the downside, has led to extensive, low-risk growth. The company had one built-in opportunity to expand—as the best and only liquid buyer of Colliers' local market affiliates. This allowed us to project the future by evaluating the company's current operations and past success acquiring franchisees. From time to time we were able to purchase Colliers shares at significant discounts to our conservative estimate of the future cash flows of its various businesses, and even at multiples of our original cost, because of the growth runway that continually seemed to grow longer as Hennick figured out the next strategic move. Today, one of us serves on the Colliers board of directors, and we are as excited about the future of Colliers today as we were 10 years ago.

A number of the companies we have invested in follow an organic-growth-plus-acquisitions model. They may not be in the most exciting industries, but are leaders in areas such as real estate services, flooring, insulation, and logistics. Each enjoys large end markets, provides a basic and necessary product or service, experiences high levels of industry fragmentation, and can capture economies of scale. However, without an owner-operator on a mission to compound capital at high rates, these would not be particularly exciting investments. We think it is important to recognize that the founders did not fall into these businesses, but rather hand-picked these industries for their specific attributes, which would enable large-scale wealth creation through consolidation and continually improving their customer value proposition relative to competitors.

As we spent more and more time with founder CEOs and continued to calibrate how we wanted our net worths invested, we started thinking harder about the future and handicapping what it could look like. For example, we have been long-term shareholders in